

Sir Syed University of Engineering & Technology
Department of Computer Science & Information Technology



HS-411 - Entrepreneurship
Lecture No. 4

Feasibility Analysis

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List of Topic to be Discuss in this lecture

1. Explain what a feasibility analysis is and why it's important.
2. Describe a product/service feasibility analysis, explain its purpose, and discuss the two primary issues that a proposed business should consider in this area.
3. Describe an industry/market feasibility analysis, explain its purpose, and discuss the two primary issues to consider when completing this analysis.
4. Explain what an organizational feasibility analysis is and its purpose and discuss the two primary issues to consider when completing this analysis.
5. Describe what a financial feasibility analysis is, explain its importance, and discuss the most critical issues to consider when completing this analysis.

What is Feasibility Analysis?

- ❑ Feasibility analysis is the process of **determining** if a business idea is viable.
- ❑ It is the preliminary evaluation of a business idea, conducted for the purpose of determining whether the idea is **worth pursuing**.
- ❑ Feasibility analysis takes the **guesswork** (to a certain degree) out of a business launch, and provides an entrepreneur with a more secure notion that a business idea is feasible or viable.
- ❑ **Timing of feasibility analysis:** It follows the opportunity recognition stage and comes before the development of a business plan.

Four Forms of Feasibility Analysis

1. Product/Service Feasibility
2. Industry/Target Market Feasibility
3. Organizational Feasibility Analysis
4. Financial Feasibility Analysis

Product/Service Feasibility

Product/Service Feasibility involves assessing the viability and potential success of introducing a new product or service into the market.

It examines various factors such as market demand, competition, regulatory considerations, technical feasibility, and financial feasibility to determine whether launching the product or service is feasible and likely to be profitable.

Here's an example to illustrate product/service feasibility analysis:

Example: XYZ HealthTech is a startup company specializing in healthcare technology. The company is considering developing a new telemedicine platform that allows patients to schedule virtual appointments with healthcare providers and receive remote medical consultations. Before proceeding with the development of the platform, XYZ HealthTech conducts a product/service feasibility analysis.

Product/Service Feasibility

- ❑ **Market Demand:** XYZ HealthTech conducts market research to assess the demand for telemedicine services among patients and healthcare providers. The company analyzes factors such as demographics, healthcare trends, patient preferences, and the availability of telemedicine solutions in the market. Market surveys and interviews with potential users help XYZ HealthTech gauge the level of interest and willingness to adopt the new telemedicine platform.
- ❑ **Competition:** The company evaluates the competitive landscape to identify existing telemedicine platforms and healthcare providers offering similar services. XYZ HealthTech assesses the strengths and weaknesses of competitors, their market share, pricing strategies, and the quality of their offerings. The analysis helps XYZ HealthTech understand the level of competition and differentiate its telemedicine platform by offering unique features or benefits.

Product/Service Desirability

- ❑ **Regulatory Considerations:** XYZ HealthTech investigates regulatory requirements and compliance standards governing telemedicine services in the target market. The company ensures that its platform adheres to legal and ethical guidelines related to patient privacy, data security, medical licensing, and telehealth regulations. Compliance with regulatory requirements is essential to mitigate legal risks and build trust with users and healthcare providers.
- ❑ **Technical Feasibility:** The company assesses the technical feasibility of developing and implementing the telemedicine platform. XYZ HealthTech evaluates factors such as software development requirements, IT infrastructure, compatibility with existing systems, scalability, and cybersecurity measures. The analysis helps determine whether the company has the technical capabilities and resources to build and maintain the platform effectively.

Industry/Target Market Feasibility

Industry/target market feasibility is an assessment of the overall appeal of the **industry** and the **target market** of the product or service being proposed.

There is a distinct difference between a **firm's industry** and **its target market**; having a clear understanding of this difference is important

- An **industry** is a group of firms producing a similar product or service, such as computers, children's toys, airplanes, or social networks.
- A firm's **target market** is the portion of the industry that it goes after or to which it wants to appeal. Most firms, and certainly entrepreneurial start-ups, typically do not try to service an entire industry

Instead, they select or carve out a specific target market and try to service that group of customers particularly well.

For example, is not trying to target the entire children's toy industry. Its target market is the set of parents who are willing to pay a premium for educational toys that teach kids how to code.

Industry/Target Market Feasibility

There are **two components** to industry/target market feasibility analysis:

1. Industry attractiveness
2. Target market attractiveness.

Industry attractiveness refers to the overall appeal and potential profitability of the industry in which a company operates or intends to enter. It involves assessing factors such as market size, growth rate, competition, barriers to entry, supplier power, buyer power, and technological advancements.

Example: The smartphone industry has been highly attractive in recent years due to its rapid growth, expanding market size, and technological advancements. Companies like Apple, Samsung, and Huawei have thrived in this industry due to its high profitability and continuous innovation.

Industry/Target Market Feasibility

Target market attractiveness focuses on evaluating the specific segments or groups of customers within an industry that a company intends to serve. It involves analyzing factors such as segment size, growth potential, purchasing power, accessibility, and alignment with the company's capabilities and objectives.

Example: Within the smartphone industry, a company might identify the youth segment as particularly attractive due to its large size, increasing purchasing power, and high adoption rate of new technologies. Companies like OnePlus and Xiaomi have successfully targeted this segment by offering high-performance smartphones at competitive prices.

While industry attractiveness sets the broader context for strategic decision-making, target market attractiveness guides companies in identifying the most promising opportunities within that industry and tailoring their strategies to effectively serve those segments. Both are essential considerations for companies aiming to achieve sustainable growth and competitive advantage.

Industry/Target Market Feasibility

Let's break down each component and provide an example:

Industry feasibility analysis involves evaluating the overall attractiveness of the industry in which a company intends to operate. It examines factors such as market size, growth potential, competition, regulatory environment, and technological trends.

Example: Suppose a company is considering entering the electric vehicle (EV) industry. It conducts an industry feasibility analysis to assess the market dynamics, including the increasing demand for EVs due to environmental concerns and government initiatives promoting sustainable transportation. The analysis also considers the growing investment in EV infrastructure, advancements in battery technology, and the emergence of new players in the industry. Additionally, the company evaluates potential barriers to entry, such as high capital requirements, regulatory hurdles, and competition from established automakers.

Industry/Target Market Feasibility

Target market feasibility analysis involves evaluating the specific segments or groups of customers within the industry that the company intends to target. It assesses factors such as segment size, growth potential, purchasing behavior, needs, preferences, and competition.

Example: Continuing with the EV industry example, the company conducts a target market feasibility analysis to identify the most promising customer segments for its electric vehicles. It segments the market based on demographic factors (e.g., age, income, geographic location), psychographic factors (e.g., environmental values, lifestyle), and behavioral factors (e.g., adoption of EV technology, willingness to pay for premium features). The analysis reveals that there is a growing segment of environmentally-conscious consumers who prioritize sustainability and are willing to pay a premium for electric vehicles with long battery range and fast-charging capabilities. The company decides to target this segment with its product offerings and tailor its marketing strategies accordingly.

Organizational Feasibility Analysis

Organizational feasibility analysis is conducted to determine whether a proposed business has sufficient management expertise, organizational competence, and resources to successfully launch.

Here's an example to illustrate organizational feasibility analysis:

Example: XYZ Corporation is a medium-sized manufacturing company that specializes in producing automotive parts. The company is considering expanding its product line to include electric vehicle components, which represent a growing segment in the automotive industry. Before making a final decision, XYZ conducts an organizational feasibility analysis to determine if it has the capability to successfully enter and compete in this new market.

Organizational Feasibility Analysis

- ❑ **Management Expertise:** XYZ evaluates whether its current management team possesses the necessary expertise and experience in electric vehicle technology, market dynamics, and strategic decision-making to lead the expansion effort effectively.
- ❑ **Organizational Structure:** The Company assesses its existing organizational structure to determine if it can accommodate the new product line. It considers factors such as departmental responsibilities, reporting relationships, and decision-making processes.
- ❑ **Human Resources:** XYZ evaluates its workforce to identify any skill gaps or shortages that may hinder the successful implementation of the expansion plan. It considers whether additional training, hiring, or restructuring is needed to ensure adequate human resources for the new venture.

Financial Feasibility Analysis

Financial feasibility analysis is a process used by businesses to evaluate the economic viability of a proposed business venture or project. It involves assessing whether the expected financial returns from the venture are likely to justify the investment of resources. This analysis typically considers factors such as revenue projections, cost estimates, funding requirements, cash flow projections, and return on investment (ROI).

Here's an example to illustrate financial feasibility analysis:

Example: ABC Tech, a software development company, is considering developing a new mobile application designed to help users track their fitness activities and provide personalized workout plans. Before proceeding with the development, ABC conducts a financial feasibility analysis to determine if the project is economically viable.

Financial Feasibility Analysis

- ❑ **Revenue Projections:** ABC estimates the potential revenue that the mobile application could generate based on factors such as market size, pricing strategy, and projected user adoption rates. Market research indicates that there is a growing demand for fitness apps, and ABC anticipates that its app could attract a significant number of users.
- ❑ **Cost Estimates:** The company identifies the costs associated with developing, launching, and maintaining the mobile application. This includes expenses such as software development, design, marketing, server hosting, and ongoing maintenance. ABC also considers any potential additional costs or contingencies that may arise during the project.
- ❑ **Funding Requirements:** Based on the revenue projections and cost estimates, ABC calculates the amount of funding needed to finance the development and launch of the mobile application. This includes both initial investment costs and working capital requirements to sustain operations until the app starts generating revenue.

Financial Feasibility Analysis

- ❑ **Cash Flow Projections:** ABC prepares cash flow projections to assess the timing and magnitude of cash inflows and outflows associated with the project. This helps the company evaluate its ability to meet financial obligations, such as paying suppliers, employees, and creditors, as well as servicing any debt or financing arrangements.
- ❑ **Return on Investment (ROI):** The company calculates the expected return on investment for the project by comparing the anticipated financial gains with the initial investment and ongoing expenses. ABC considers factors such as payback period, net present value (NPV), and internal rate of return (IRR) to assess the attractiveness of the investment opportunity.

Role of Feasibility Analysis in Developing Successful Business Ideas

